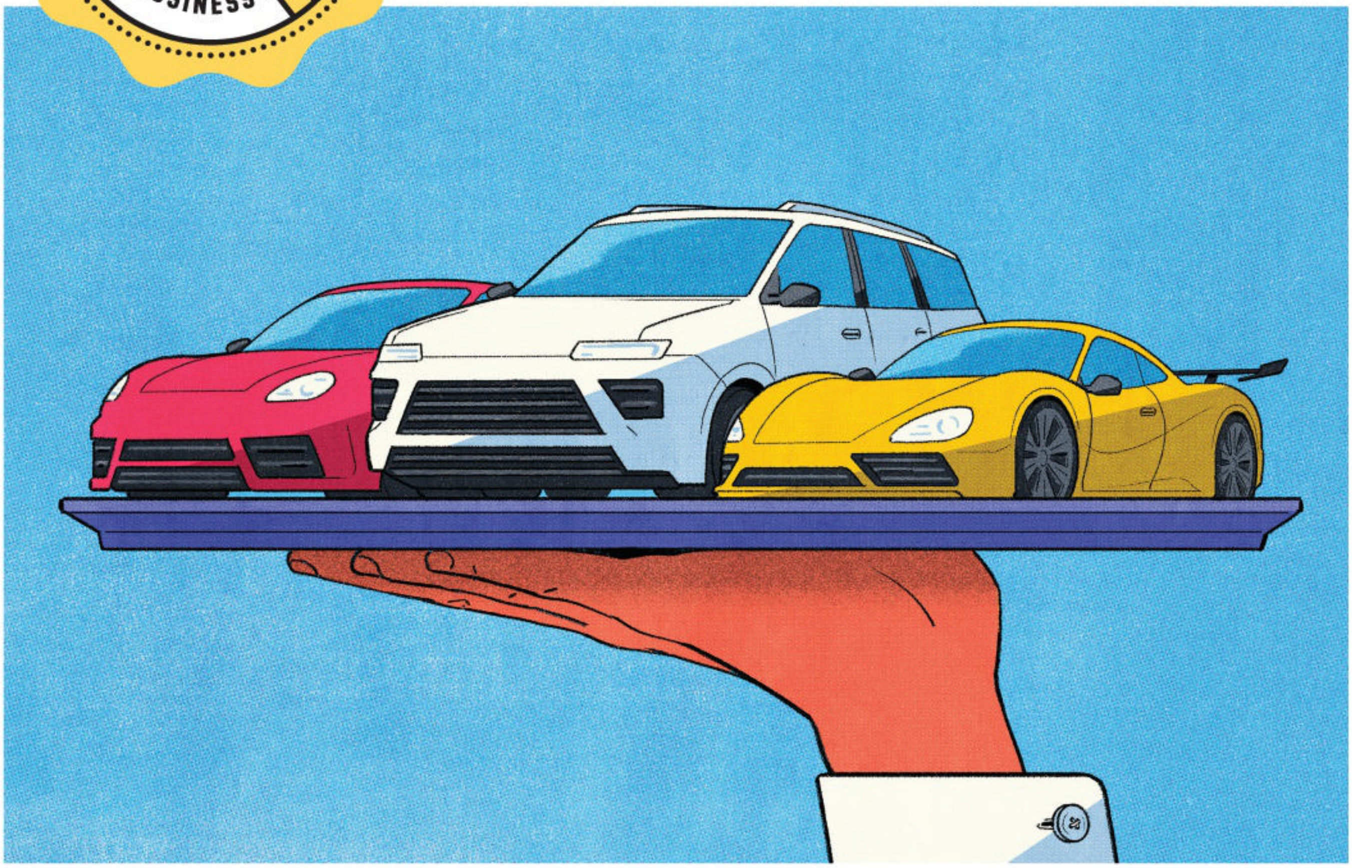
HBR's fictionalized case studies present problems faced by leaders in real companies and offer solutions from experts. This one is based on the Ivey Publishing case study "Porsche Drive (A): Vehicle Subscription Strategy" (case no. W39684), by Vaughan Griffiths, Varun Gupta, Darren Manion, Sarah Sargent, and Xiao Zhang, which is available at ***HBR.org****.*



Is Our Subscription Program Really Working?

by Varun Gupta, Xiao (Shawn) Zhang, Vaughan Griffiths, and Jing Li

JON WEBER, SENIOR VICE PRESIDENT of customer strategy for Hohenbruck Motoren North America, was driving to work in his HX7, the luxury carmaker's SUV model. Cutting through a residential neighborhood to avoid highway traffic, he eased to a stop at a traffic light, glancing at the time on the dashboard.

Then he saw the other HX7. The same color as his, it was being delivered to a brick house where an HX3 hatchback was parked. An employee from the dealership greeted the customer, who emerged from the house in running shorts and exchanged keys with him. Then the employee got into the hatchback and drove away, leaving the customer grinning at the gleaming SUV—all before Jon's light turned green.

This was Hohenbruck Access, the carmaker's subscription service, in action. It had launched in 2021 as an experiment designed to test simple but radical questions: Would affluent customers pay to use a Hohenbruck without purchasing one or committing to a traditional lease? Would subscribers become buyers? And would the service change how customers view Hohenbruck's luxury brand?

Illustrations by JORI BOLTON

> The ease and speed of the exchange felt almost shocking, a clear disruption of Hohenbruck's ownership journey—and potentially of its brand mystique.

The first subscription offering had leaned hard into flexibility. For $4,000 per month, customers could switch between models in as little as 24 hours, using the HX3 hatchback for the workweek, the S90 sports car for the weekend, and the HX7 SUV when family visited. Recently Hohenbruck had expanded the program to 11 cities and introduced single-model subscriptions that started at $2,000 a month. All contracts included insurance, maintenance, roadside assistance, and delivery. The subscriptions were more expensive than traditional leases but were easier to start and stop.

Jon had been meaning to dig into the service's user insights, but gathering data was difficult because customer engagement happened through franchised dealerships. He knew the basics: Most subscribers were new to Hohenbruck. They were usually younger than its traditional buyers and lessees. Some eventually bought a Hohenbruck car.

Watching the exchange left Jon keen to investigate further. The ease and speed of it all felt almost shocking, a clear disruption of Hohenbruck's ownership journey—and potentially of its brand mystique. A Hohenbruck was supposed to be desired, waited for, aspired to. It was not supposed to simply arrive. Yet here was a man in running shorts with an HX7 he did not and might never own.

GIVING THE PEOPLE WHAT THEY WANT

A few weeks later Jon sat at a conference table as dealer representatives from Texas, Georgia, Illinois, and California appeared on a wall monitor. "Thanks for joining me today," Jon said. "I'd like to hear about how customers have been reacting to the Access program."

The Texas dealer spoke first. "Access is bringing in people we weren't seeing before," he said, "and many of them eventually buy." He read a software executive's review: "A 20-minute test drive would never have told me whether an electric vehicle fit my life. A two-month subscription revealed everything I needed to know."

The Illinois dealer agreed that multicar subscriptions were a powerful sales tool. It took time to fully grasp the differences between, say, the S90 Touring, the S90 Sport, and the S90 GT. The multicar program helped customers figure out what they wanted, leading to higher satisfaction. "If the point is to turn curiosity into confidence," she said, "nothing we do works better."

The dealer in Georgia nodded. "My team has begun tracking customer comments from follow-up calls, and we've found that Access makes Hohenbruck feel less intimidating," he explained. "Here's how one subscriber put it: 'I love the brand, but I never felt like I belonged in the showroom. This was an easier way to get to know the cars.'"

The California dealer was less effusive. "Some subscribers are serious prospects," she said, "but others just want the logo for a month. They get the single-car subscription, post a few videos of themselves driving a Hohenbruck on TikTok and Instagram, and then cancel. This is not the type of customer we want to be associated with."

Jon was still scribbling notes as the meeting ended. It was clear that Access deepened the pool of potential customers—but was it producing results Hohenbruck didn't want? Was it diluting the sense of exclusivity that the brand had spent decades cultivating? He wrote down a final thought: "Access might be the most effective—and most expensive—test drive we've ever built."

MORE OPTIONS, MORE PROBLEMS

A few days later Jon met with the founder of GearVale Labs, Eli Jaimeson. GearVale had created Access's customer-facing booking and approval platform, as well as the back-end system that matched people with available cars, tracked mileage and utilization, and coordinated dealer inventory. The contrast between the two men was hard to miss. Jon wore his usual Italian-made suit and sipped an espresso. Eli wore skateboard shoes and nursed a giant bottle of Diet Mountain Dew.

They were reviewing the service's pricing model on a screen in front of them. The takeaway was clear: Hohenbruck Access was hovering around breakeven. In stronger markets it had a modest margin. In weaker ones there was no margin at all.

"Anyone can do the math," Eli said. "The subscription price has to exceed the true cost to serve. That includes depreciation, insurance, delivery, maintenance, cleaning, idle days, mileage, employee time, and remarketing."

He clicked to the next screen. "We had more ability to resell retired vehicles than we realized early on, because used-car values were so strong. We overestimated depreciation, which made the economics look better. That

cushion is disappearing." Eli pulled up a dashboard. Across the 11 markets, fleet utilization was averaging 64%; it was robust in Chicago and Los Angeles but below 50% elsewhere. "If resale values or utilizations decrease, some markets could be underwater in a year," he concluded.

The next screen showed the cost stack. Depreciation was the biggest variable. Insurance followed it. Delivery and pickup—once treated as part of the service's magic—became real costs every time a subscriber switched cars. Maintenance was predictable until it wasn't. A car retired from the fleet at 10,000 miles was one thing; a car retired above 20,000 miles was another.

"The issue isn't whether people will subscribe," Eli said. "It's whether the margin is good enough after we include the full cost of serving them."

"So, what's your recommendation?"

"Stop multicar," Eli said. "The business has to stick to single-car subscriptions. The margins there are much more attractive because the logistics are so much simpler."

Jon frowned. "The dealers think multicar is what converts people. They worry that single-car feels too much like a rental without the commitment."

"Multicar converts some people. But if the business depends on letting customers treat the S90 lineup like a tasting menu, it won't pencil. Every swap adds cost. Every extra car in the fleet adds idle time. Every promise of unlimited flexibility forces us to carry inventory we may not use."

He took a sip of his soda and clicked on a comparison of customer types. Enthusiasts had a high willingness to pay when they could explore different models in anticipation of a purchase; one S90 customer had said he would have paid an even higher monthly fee because he learned so much. But subscribers who didn't want to buy were different. They valued convenience, bundled insurance, and short-term usage but were more price-sensitive. A Houston doctor who'd needed an HX3 for three months loved the service but wanted a lower monthly fee.

"That's why single-car is the scalable product," Eli said. "Different customers than our traditional buyers and a lower willingness to pay, but good margins because of the reduced complexity—and much lower risk."

"That would also mean accepting that many subscribers may never buy."

"Some won't. But they'll still pay us."

Jon leaned back. It was clear that Eli no longer saw the service as a way to sell cars. He was making a different claim: that a subscription itself should be the core product. Eli was pushing to make Hohenbruck Access an entirely different business.

BUT IS IT COMPELLING ENOUGH?

The next week Jon was in his office when Klara Richter, senior vice president of international strategy, appeared on his screen from Germany. Behind her was a pale-wood conference room, the walls empty except for a framed photograph of an early S90, the iconic car that made the brand global.

"I want to start by saying this clearly," Klara said. "The U.S. team built something real with Access. We've been talking about innovation at Hohenbruck for years, and this was a fantastic example of putting that into practice."

Jon nodded but did not interrupt.

"Still, I have read your materials twice, and I think we need to have more clarity about the strategy here," she said. "Hohenbruck Access can be a customer-acquisition tool. But if this is marketing, it is very expensive marketing. And you need dealers to support a model that does not always reward them the way sales and leases do."

Klara then turned to the second scenario: Access as a recurring-revenue business. "If we price it properly, simplify operations, and shift to single-car subscriptions, it could be a new way to monetize the brand even if subscribers don't become buyers.

"But," she continued, "the big question remains: Can we build that business without cannibalizing our existing one?"

Should Hohenbruck Access continue and, if so, in what form?

THE EXPERTS RESPOND.

ROBERT PHILLIPS *is the former head of marketplace data science for Uber and a former professor at Columbia Business School.*

Jon should pursue Access as a real business—if Hohenbruck is willing to commit.

Amazon did not begin as a cloud-computing company, but it became extraordinarily good at managing large-scale computing infrastructure, and Amazon Web Services was born. Hohenbruck may be facing a smaller version of that scenario. While Access started as a way to introduce customers to the brand, it has uncovered a demand for a different business model. Some people may not want a lease or ownership; they may instead want flexibility, service, and luxury driving with less commitment. Who knows how many of these potential customers might come forward once the program gains real traction?

But Jon needs data, not anecdotes, to make that argument. Hohenbruck has rolled out Access across different cities at different times, which creates an opportunity for comparison. At a minimum, Jon should evaluate Access as a customer-acquisition channel. What kinds of people does it bring in? Are they truly younger? Do they offer higher lifetime value? How many become buyers? What is the cost of acquiring them?

If Access is helping Hohenbruck win loyalty from a new demographic group, that could be extremely valuable. But the company must be honest about the trade-offs: the opportunity cost of renting vehicles instead of selling them, the expense of maintaining a fleet, the time that dealers spend administering the program, the risks that arise when customers drive cars they do not own, the need to support customer accidents, and the potential brand damage of service failures.

As for stakeholder management, the dealers will be the trickiest. Some will reject Access outright, saying Hohenbruck is about aspiration and ownership. Others will be enthusiastic. A large middle group will wait to see whether headquarters is serious. Jon and his team must anticipate and manage that split. Success will require identifying and supporting dealers who are enthusiastic about the change and are able to make it work. They can serve as ambassadors for the program and mentors to other dealers.

If Jon's analysis shows that Access has the potential to become a sustainable, profitable business, that is what he should recommend. He must acknowledge all the areas affected by such a change and emphasize that nothing can be accomplished without the CEO's full backing. After showing Klara the data, the economics, and the dealer model, he should ask her to make the decision: Is Hohenbruck willing to become not only a company that sells and